

Roth IRAs are a breed unto themselves. Unlike deductible IRAs, Roth IRAs don't give you an up-front tax break on your contributions. (That is, you can't deduct your contribution from your taxable income for that year.) But once your money is in a Roth IRA, it will never be taxed again. Roth IRAs don't just compound tax-free: They stay that way. Forever. When you retire and start taking your money out of a Roth IRA, you won't have to pay federal, state, or local taxes on it as you would with a traditional IRA or a 401(k). In retirement plan lingo, while deductible IRAs offer *tax-deferred* growth (you delay paying tax on your contributions and earnings until you withdraw the money), the Roth IRA grows *tax-free*. For many people—especially young people saving over many years—the Roth IRA is the better deal. (I'll get into the details in a moment.)

One big advantage of Roth IRAs is that you may be able to open one even if you already have a retirement plan at work (which you may not be able to do with a deductible IRA). That's because the eligibility rules for Roth IRAs are simpler than they are for deductible IRAs. It doesn't matter if you and your spouse are eligible for a retirement plan at work—all that matters is your income.

You can make the *full* \$5,000 annual contribution to a Roth IRA if:

- You're single and your adjusted gross income is not more than \$105,000.
- You're married, file jointly, and your adjusted gross income is not more than \$166,000.

You can still get a Roth IRA even if you have a higher income, but the amount you're allowed to contribute is less than \$5,000. As long as you earn under \$120,000 as a single person or \$176,000 as a couple filing jointly, you can make a partial contribution. It's a sliding scale, so if you want to know where you fall, fill out the worksheet in IRS Publication 590 (www.irs.gov). One quirky rule: Married people filing separately can never make the full Roth contribution. There are rare cases—if either has a very low income—where they can make partial contributions.
